

A shell, a general and Nescafé

Moscow has stripped Nestlé, Auchan and the former Leroy Merlin of control over their Russian businesses without formally taking ownership. It is the largest such move against western companies since 2023. For those that stayed, the question is no longer whether to leave, but what is left to lose.

By Juri Jukola · 19 September 2026

On the evening of 17 September, as Russians prepared to vote in their first parliamentary election since the full-scale invasion of Ukraine, a seven-page document appeared on the Kremlin's legal portal. Decree No. 661 added 32 lines to an annex that western boardrooms had hoped not to see extended again. Each line transferred a shareholding: in Nestlé's two Russian companies, in Auchan's supermarket chain, in the DIY retailer that until 2024 traded as Leroy Merlin, and in a dozen logistics and construction companies belonging to France's FM Logistic group. Sixteen Russian legal entities in all were handed to a Moscow company called L.E.V. Management. Formally the owners keep their title. What they lose is control: management, cash flow and the right to sell. Russian lawyers quoted by Kommersant stress that nothing has been confiscated, but in earlier cases the same step preceded a sale or transfer to Russian buyers.

The recipient is an odd choice of custodian. Registry data show that L.E.V. was registered in October 2024 with share capital of 15,000 roubles, about \$180, and a single employee. Its 2025 accounts record no revenue and a loss of 15,000 roubles. It had been offered for sale as a ready-made shell. On 10 September, a week before the decree, it acquired a new chief executive, Andrei Krayushkin. Novaya Gazeta Europe reported that his name and date of birth match those of an interior ministry major general who served as first deputy head of the ministry's migration directorate. Asked why this company had been chosen, Kremlin spokesman Dmitry Peskov said only that it had best met the necessary parameters.

What it now administers is not small. Kommersant values the businesses at no less than 600bn roubles, roughly €6.2bn at the Central Bank of Russia's rate on the day of the decree. The New Eurasian Strategies Centre (NEST), a think-tank, estimated the day after the decree that all 22 groups of foreign assets placed under "temporary administration" between April 2023 and August 2026 were together worth at least €6bn. The two figures are not calculated on the same basis, but on these estimates a single evening roughly doubled the value of foreign assets under Moscow's administration.

What was taken

Nestlé is not an importer in Russia but a manufacturer. It runs six sites in the Kaluga, Vologda, Samara and Vladimir regions and in the Perm and Krasnodar territories, producing coffee, confectionery, infant food and pet food under brands including Nescafé, Maggi, NAN and Purina. It employs about 7,000 people. Its plant at Timashevsk, near Krasnodar, was expanded for SFr240m in 2011 and was then described by the company as its largest soluble coffee factory in Europe. Some of the most Russian-sounding names on supermarket shelves belong to the Swiss group, among them the Rossiya chocolate brand from Samara and Bon Pari sweets. Early reports described the Swiss parent as the sole

owner, but the decree's annex shows that a German subsidiary, Nestlé Deutschland AG, held 15.9 per cent of Nestlé Rossiya and 32.6 per cent of Nestlé Kuban.

In March 2022, under pressure from Volodymyr Zelensky, Nestlé suspended KitKat, Nesquik and other brands, stopped advertising and capital investment and pledged to donate any Russian profit to humanitarian causes. Its Russian revenue in roubles has nonetheless grown, from 189.6bn in 2021 to 258bn in 2025, according to Russian filings and RBC, mostly on the back of inflation. At the day's rate that is about €2.7bn.

Auchan opened its first Russian hypermarket at Mytishchi, outside Moscow, in 2002. By 2016 Forbes Russia ranked it the largest foreign-owned company in the country, and in 2021 Russia brought in €3.2bn, about a tenth of Auchan Retail's sales. The chain now has 230 stores in 100 cities and about 30,000 staff; turnover fell 2.5 per cent to 127bn roubles in the first half of 2026. Its 16 private labels, many sold under a bird logo whose colour marks the price tier, cover about 8,500 products, more than 88 per cent of them made in Russia.

The largest prize is the former Leroy Merlin. Lemana Pro, as it has been branded since 2024, has 112 stores in 66 cities and holds 27.2 per cent of the Russian DIY market, according to Infoline. Its turnover fell 6 per cent in 2025 to 550bn roubles, about €5.7bn. FM Logistic's Russian arm, with 25 warehouse complexes covering 865,000 sq m, reported 2024 revenue of 30.1bn roubles.

Why they stayed

It would be easy to file the three companies under "pro-Russian". The record points elsewhere: to ownership, exposure and the price of leaving.

Nestlé is listed, and Russia was about 2 per cent of its sales before the war. It bowed to public pressure within days and defended what remained as the supply of essential food, a doctrine the company has applied in war zones for decades. The Mulliez family, which controls both Auchan and Adeo, the owner of Leroy Merlin, answers to no outside shareholders, and Russia mattered far more to it. Auchan's international chief defended staying in March 2022, and Ukraine's then foreign minister, Dmytro Kuleba, called for a boycott of Auchan, Leroy Merlin and Decathlon. Decathlon, alone among the family's chains, suspended its Russian operations that month.

Adeo chose a third path. In March 2023 it announced that it was handing control of the Russian business to local management, a move the Kremlin praised as civilised. By December a UAE-registered partnership, Scenari Holding LP, owned 99.99 per cent of the Russian company, with Adeo keeping 0.007 per cent. An investigation by L'Express found that the business was still run by the same French chief executive, that its trademarks had been renewed to 2031 and that it was still supplied through Adeo. Adeo itself described its role as that of a "passive investor" and did not deconsolidate the business; Russia produced a fifth of the chain's sales and a quarter of its profits in 2023. French outlet L'Informé reported that Russia still accounted for about 18.5 per cent of Adeo's worldwide revenue in 2025. Decree 661 takes both Scenari's stake and Adeo's sliver. Moscow, it seems, was never persuaded by the exit either.

Reputation was a further cost that did not show in the accounts. A 2023 investigation by The Insider, Le Monde and Bellingcat reported that Auchan's Russian subsidiary had shipped goods to Russian soldiers as "humanitarian aid" and helped draft offices reach its staff; Auchan denied it. Separately,

French anti-corruption investigators have been examining alleged kickbacks inside the Russian subsidiary since 2020, a case in which the group presents itself as the victim.

The economics of leaving were set in Moscow. Any sale by an investor from an “unfriendly” country needs government approval, a mandatory 60 per cent discount to an independent valuation and a “voluntary” budget contribution of 35 per cent of market value; together they can consume up to 95 per cent of what a business is worth. Against those terms, staying looked rational. Fortum shows why it was not safe either. The Finnish utility halted new investment in March 2022, decided in May 2022 to leave entirely and sought Russian and international buyers without success. Its assets were taken anyway, in April 2023, under the very first use of the temporary administration decree.

Why now

The paperwork began a month earlier. In August Kommersant reported that KS Logistika, a small holding company with 1.6m roubles of revenue in 2025, had petitioned President Vladimir Putin to place five Nestlé entities under temporary administration, citing the company’s lack of expansion plans and its halt to exports. Market participants told the paper they assumed KS Logistika was acting for others. Switzerland’s economic affairs secretariat, SECO, said on 18 September that it had been working with Nestlé on the matter for several weeks.

Mr Peskov offered the political motive. The owners, he said, came from unfriendly countries involved in military actions against Russia, including Kyiv’s strikes on civilian economic infrastructure. Since 18 July Ukraine has struck warehouses of Wildberries, Russia’s largest online retailer, and later those of Ozon; some estimates put Wildberries’ losses as high as \$6bn. The Financial Times reported on 29 July that US and French intelligence had helped Ukraine choose targets, including eight Wildberries fulfilment centres. At a press conference in Kyiv on 24 August, Finland’s president, Alexander Stubb, said he considered the campaign a sensible military strategy, according to the Kyiv Post. Russia’s foreign ministry spokeswoman, Maria Zakharova, responded on Radio Sputnik by accusing him of personal and political “degradation”.

The timing has other sharp edges. Swiss voters decide on 27 September on an initiative that would impose a stricter reading of neutrality and could affect Switzerland’s alignment with EU sanctions; Moscow has publicly weighed in on the campaign in favour of the stricter reading, Bloomberg reported. Russia’s finance ministry reported a federal budget deficit of 5.8tn roubles for January to August, against 3.8tn budgeted for the whole year. And the EU has reopened its debate on the roughly €210bn of Russian central bank assets frozen in the union, about €185bn of them at Euroclear. Foreign ministers discussed the matter on 2 September without reaching agreement.

One detail cuts against the view that this is simply a cash grab. NEST finds that the value of assets seized in Russia fell sharply in the first seven months of 2026 after a record 2025. Foreign assets, by contrast, are moving again: a decree in July placed AkzoNobel’s Russian paint businesses under the administration of a company called Razvitie Stroitelnykh Aktivov. The pressure is shifting outward.

The bill

Nestlé’s shares fell by more than 2 per cent on 18 September. Jean-Philippe Bertschy of Vontobel put Russia at about 1 per cent of group sales and expected a marginal financial effect. Jefferies estimated that writing off the Russian business, including cash Nestlé has been unable to repatriate, could cost

about SFr1bn. Kommersant valued the business at 160bn–170bn roubles, or €1.7bn, before the decree.

For the Mulliez family the arithmetic is heavier. Auchan's Russian and Ukrainian operations together generated €2.99bn of revenue in 2024, 9.2 per cent of Auchan Retail's total, and €113m of EBITDA. Adeo faces a harder accounting question. Under IFRS, loss of control over a subsidiary forces deconsolidation. Danone deconsolidated its Russian dairy business in July 2023, the month it lost control of the management, while insisting it remained the legal owner; its total recognised loss was €1.2bn. Adeo, which avoided deconsolidation by calling itself a passive investor, is likely to have to take the step it sidestepped in 2023.

Fortum offers the fullest precedent. Over the years it invested about €6bn in Russia. Because the Russian business had generated more than €4bn of EBITDA since 2008, the company put its net cash loss at about €2bn. It booked impairments of €1.7bn in 2022 and wrote off the remaining €1.7bn of book value in 2023, alongside €1.9bn of accumulated currency translation losses that did not affect equity. In 2021 its Russian operations, including those of its then subsidiary Uniper, had contributed about a fifth of comparable operating profit. Fortum began arbitration in February 2024 under Russia's investment treaties with the Netherlands and Sweden; its Russian stakes were held through Dutch companies. It is separately suing its former subsidiary in a Dutch court for about €800m of unpaid loans. Its chairman has warned that collecting could take ten years or more.

The new victims may have more than one door to knock on. France's investment treaty with Moscow dates from 1989 and Switzerland's from 1990, and both remain in force, according to UNCTAD. The French treaty bars unfair measures that impede the management or enjoyment of an investment, language that fits temporary administration closely. The decree's annex adds further options: stakes are also held through intermediate companies, among them Nestlé Deutschland and a Dutch company holding a sliver of Auchan, and the German and Dutch treaties with Russia are also in force. Choice of treaty can matter. Several EU capitals are discussing a coordinated termination of their treaties with Russia, which would start a 15-year sunset clock; Switzerland is outside that debate. Treaties are one thing, enforcement another: Raiffeisen, which lost €2.1bn of assets to a Deripaska-linked company in January 2026, chose not to invoke Austria's treaty, citing cost, legal risk and the difficulty of enforcing an award.

The insurers' question

Political risk policies typically cover expropriation, including creeping expropriation and requisition, meaning temporary government use of an asset. A decree that leaves title in place while removing control sits squarely in the grey zone where coverage disputes are born. Whether Nestlé or the Mulliez companies bought such cover for Russia has not been disclosed.

The aviation market has already walked this road. When the war began, foreign lessors had 523 aircraft rented to Russian airlines, worth an estimated \$10.3bn, and about 400 never came back. In June 2025 London's Commercial Court ruled that the aircraft were lost on 10 March 2022, when Russian legislation banned their export. AerCap, the largest lessor, valued its losses at \$2.7bn and has recovered \$2.5bn from insurers and settlements. Lessors have agreed settlements worth at least \$2.7bn with Russian counterparts covering more than a quarter of the stranded jets. The next round, over the airlines' own operator policies, is due for trial in London in October 2026.

The ledger

The broader account is large and mostly unrecoverable. A Reuters analysis in March 2024 found that foreign companies had recorded more than \$107bn of writedowns and lost revenue from the Russian exodus; exit payments to the Russian budget had reached at least \$1.25bn by the end of 2023. Kept, the former Russian arm of KPMG, counted about 400 exit transactions worth some \$27bn between 2022 and 2025. Forced transfers of stakes in joint projects took Shell out of Sakhalin-2 for about \$1bn, cost ExxonMobil an estimated \$2.3bn at Sakhalin-1, left Fraport selling its Pulkovo airport stake for €45m, and helped push BASF into a €7.3bn impairment on Wintershall Dea.

Assets rarely stay with the state. Danone's business ended up with people close to Chechnya's leadership. By NEST's count, only about 15 per cent of seized assets go to people outside established elite networks, and sales usually come at steep discounts. Temporary administration has so far had one known way back, for Italy's Ariston after diplomatic intervention, and one known dead end, for US-owned Glavprodukt, which a Russian court transferred permanently to the state. Seizures from Russian owners in 2022–25 are put at €55bn–72bn.

French investors have been here before. Under a 1997 agreement Russia paid France \$400m, in eight instalments, to compensate holders of securities and victims of property losses suffered in Russia before 1945. The money arrived generations after the losses.

Who is next

There is plenty left to take. The Kyiv School of Economics counts 2,362 foreign companies, 55 per cent of those it tracks, still operating in Russia. Those with available data reported combined revenue of \$200.8bn in 2025, net income of \$11.5bn and \$5bn of profit tax. The largest include Japan Tobacco International, Philip Morris, PepsiCo, Mars, Mondelez, Procter & Gamble, Coca-Cola HBC, Metro and Globus, and among banks Raiffeisen, UniCredit and OTP. According to KSE's Leave Russia project, prosecutors in the Moscow region are investigating Mars over possible financing of Ukraine's armed forces, the kind of allegation that has preceded permanent seizure before.

The toolkit keeps growing. In August Russia allowed its courts to block investors who left after 2022 from buying back what they sold, and gave the government power to impose temporary management on critical infrastructure whose owners are judged to have neglected security against drone attack. The state has also begun demanding extra payments from Russian buyers of foreign businesses for deals it approved years ago.

The pattern of recent seizures suggests what to watch: a home government that is prominent in supporting Ukraine, a domestic party with an interest in the asset, a business simple enough to run without foreign know-how, and a pretext. France's foreign and economy ministries condemned the move as unjustified and asked Moscow to reverse it; SECO said its aim was to have the administration revoked. Nestlé says it is assessing its options. The Russian subsidiaries of Auchan and Lemana Pro say they are trading as normal and have asked the authorities for clarification.

They will probably get it in the form Danone and Carlsberg did: a sale on Moscow's terms to a buyer of Moscow's choosing. For the 2,362 companies still in Russia, the lesson of 17 September is that choosing to stay was never the final decision. It only postponed the question of who would make it.

Sources

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